

Colombia's Petro Experiment

Left Governance, Coca Production, and the Peace Process in Peril

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Executive Summary

Colombia enters the post-Petro transition in a condition of institutional fatigue and unresolved structural contradictions. Gustavo Petro's administration — Colombia's first experiment with left-wing executive governance — leaves behind a fractured cabinet, a widening fiscal deficit, a deteriorated relationship with Washington, and a peace architecture that remains substantially incomplete. The president-elect, De la Espriella, inherits a state apparatus characterised by bureaucratic paralysis and an economy described by analysts as "incredibly inflexible" in its response to fiscal adjustment. The coca and narco-trafficking economy continues to operate at scale, drawing direct US military interdiction in the Eastern Pacific. Colombia's regional trade integration, exemplified by the Pacific Alliance FTA with Singapore, offers a partial hedge against geopolitical turbulence — but structural reform remains elusive.

I. Petro's Governance Trajectory: Cabinet Instability and Fiscal Impasse

1. The Petro presidency was marked by extraordinary ministerial churn. By March 2025, Petro had lost his thirteenth cabinet minister since taking office, including his vice-president Francia Marquez, who resigned amid a corruption probe and political scandal. The episode illustrated the depth of the divide between Petro's leftist ideological project and the operational constraints of governing a state with deep institutional inertia. CNA[2026-03-24]
2. The central fault line within the Petro administration was the fiscal deficit. Finance ministers were successively appointed and lost in confrontations over efforts to rein in spending against a widening budget gap. Analysts at BTG Pactual warned that the government's approach risked a descent "further into chaos" with just over a year remaining before the next presidential election. The peso fell 1.7 per cent against the dollar in a single session as political uncertainty intensified. FT[2025-03-21]
3. The incoming administration of De la Espriella faces an inherited fiscal deficit that analysts describe as structurally intractable. Commentary from within Colombia's economic policy community was frank: "If anyone thinks that there are things that are superfluous and can simply be cut, this will not work; Colombia is incredibly inflexible." The new government has signalled a potentially bolder approach to spending rationalisation, departing from the deflation-era budgeting of the Petro years, while acknowledging there is "no silver bullet." FT[2026-06-26]
4. Petro's final months were also marked by confrontation with the military establishment. In the aftermath of a military plane crash in March 2026 that killed 66 personnel, Petro publicly criticised "bureaucratic obstacles" delaying his plans to modernise the armed forces, stating: "I will grant no further delays; it is the lives of our young people that are at stake." The episode encapsulated the broader tension between Petro's reform agenda and the institutional rigidity of Colombia's security apparatus. CNA[2026-03-24]

II. Colombia-US Relations: Deportation Confrontation and Narco-Interdiction Escalation

5. The Colombia-US bilateral relationship deteriorated sharply under the Trump-Petro dynamic. Colombia, traditionally Washington's closest ally in South America, entered open confrontation with the United States when Petro refused to accept US military deportation flights carrying Colombian migrants — a position that triggered the threat of 25 per cent tariffs from the Trump administration and a diplomatic rupture. Regional analysts observed that Petro "had no idea of the dimensions and impact of US relations" when he entered office. FT[2025-01-28]

6. While several Latin American governments — including Guatemala — acquiesced to Trump's mass deportation programme, Petro's resistance became a flashpoint for broader regional tensions over US immigration enforcement policy. Colombia's refusal to receive military deportation flights placed it in direct confrontation with an administration that invoked Mc Kinley-era precedent to justify pressure on regional allies. CNA[2025-01-27]

7. US narco-interdiction operations in the Eastern Pacific directly implicate Colombian territory and trafficking networks. In October 2025, US Defence Secretary Pete Hegseth publicly announced strikes on vessels he described as "designated terrorist organisations conducting narco-trafficking" operating in the Eastern Pacific. The operation signalled Washington's willingness to conduct unilateral kinetic action in maritime corridors adjacent to Colombian waters, further straining the bilateral relationship. CNA[2025-10-23]

8. The Trump-Petro confrontation over deportation flights escalated to mutual public threats, with both leaders trading statements through official and social media channels. The episode crystallised a structural realignment: Colombia under Petro was no longer a reliable anchor for US regional policy in the Andean corridor, forcing Washington to recalibrate its reliance on Bogota as a partner for counter-narcotics and migration management. CNA[2025-10-23]

III. The Peace Process: Structural Stagnation and Guerrilla Persistence

9. Colombia's peace architecture, inaugurated with the 2016 FARC accord under President Santos, was never fully consolidated. Petro's election represented the left's most ambitious attempt to deepen the peace dividend — his original 2018 campaign platform proposed radical land redistribution and an end to the military-first approach to guerrilla suppression, arguing instead for negotiated settlements with remaining armed groups including ELN and FARC dissidents. CNA[2018-05-25]

10. The populist left's aspirations for peace have historically been met with violence in Colombia. The assassination of Liberal presidential candidate Jorge Eliecer Gaitan in 1948 — whose anti-inequality platform preceded Petro's by seven decades — triggered a decade of civil war and gave birth to the guerrilla movements that still operate in Colombia's periphery. This historical pattern of reformist ambition and violent backlash remains a structural constraint on any administration seeking lasting peace. CNA[2018-05-25]

11. Petro's peace strategy ran into the same institutional resistance that undermined his broader governance agenda. The military establishment, whose cooperation is essential for any negotiated settlement with armed groups, was at odds with a president who simultaneously sought to reform the armed forces and rely on them for security guarantees to peace interlocutors. The bureaucratic paralysis that delayed military modernisation also impaired the operational flexibility required for sustained peace negotiations. CNA[2026-03-24]

IV. Regional Trade Integration and the Pacific Alliance Dimension

12. Despite domestic turbulence, Colombia's integration into regional trade architecture continued. In May 2025, a free trade agreement between Singapore and the Pacific Alliance — comprising Chile, Colombia, Mexico, and Peru, collectively the ninth-largest economy in the world — entered into force for three of the four member states. The agreement was the first FTA between Singapore and Colombia, and approximately 100 Singapore companies were already operating across Pacific Alliance markets in technology, food trade, infrastructure, and logistics. CNA[2025-05-05]

13. Colombia's participation in the Pacific Alliance represents its most durable hedge against bilateral turbulence with Washington. The Alliance's trade architecture provides market diversification across Asia-Pacific via Singapore's CPTPP network, reducing dependence on the US as the sole anchor for Colombian export growth. For a country simultaneously facing US tariff threats and a deteriorating bilateral security relationship, the Pacific Alliance's institutional continuity offers meaningful strategic depth. CNA[2025-05-05]

14. The tourism and export promotion agenda articulated in earlier periods — anchored in a hoped-for peace dividend — remains aspirational. Colombia's earlier positioning as a top-tier tourist destination contingent on resolution of its 51-year armed conflict has not materialised in full, as guerrilla presence in peripheral regions continues to constrain investor and visitor confidence despite the formal FARC accord. CNA[2015-10-22]

Outlook

The De la Espriella government inherits an economy with structural fiscal rigidity, a peace process that exists on paper but not in territory, and a bilateral relationship with Washington that must be substantially rebuilt. The immediate priority is macroeconomic stabilisation — managing the fiscal deficit without triggering a sovereign rating downgrade or peso collapse. The deeper challenge is Colombia's narco-political economy: coca cultivation and cocaine trafficking are not merely criminal problems but structural features of the Colombian state's periphery, entangled with armed groups that neither the Petro peace strategy nor US interdiction has suppressed.

The US-Colombia relationship will reset under a less ideologically confrontational Colombian executive, but Washington's unilateral posture in Pacific maritime corridors signals that American patience with Colombian counter-narcotics cooperation is finite. The Pacific Alliance FTA network provides Colombia with its best medium-term trade diversification play. The peace process faces a likely renegotiation under a new government that will be more willing to deploy the military — as De la Espriella has signalled — but less able to offer the political legitimacy that Petro, for all his failures, uniquely commanded among Colombia's left-wing and Afro-Colombian constituencies.

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